THE UNITED REPUBLIC OF TANZANIA
THE PRESIDENT'S OFFICE
REGIONAL ADMINISTRATION AND LOCAL GOVERNMENT
NAMANGA FORM THREE PRE-MIDTERM EXAMINATION

BOOK KEEPING

Time: 2½ Hours **August 2024**

Instructions

1. This paper consists of sections A, B and C with a total of **nine (9)** questions.
2. Answer **all** questions.
3. Section A carries **fifteen (15)** marks, section B carries **forty (40)** marks and section C carries **forty-five (45)** marks.
4. Non programmable calculators may be used.
5. **All** writing must be in **blue or black** ink.
6. Cellular phones and any unauthorized materials are **not** allowed in the examination room.

SECTION A (15 Marks)
Answer All Questions

1. For each of the following items (i) to (x), choose the correct answer from among the given alternatives and write its letter beside the item number in the answer sheets provided.

   i. A book of prime entry in a form a diary purposely for recording rare transactions which are not recorded in other books is particularly known as;
      A. Sales journal.
      B. Bought journal.
      C. Returns journals.
      D. General journal.
      E. Cash book.

   ii. Given the following; Premises TZS 200,000; Stock TZS 85,000; Cash TZS 1,000; Creditors TZS 30,000; Loan to Adams TZS 40,000. What will be the total of a debit column of a trial balance?

A. TZS 286,000.
B. TZS 356,000.
C. TZS 326,000.
D. TZS 316,000.
E. TZS 296,000.

iii. The imprest amount is TZS 500,000. What will be the amount of re-imbursement if the following expenses were incurred by the petty cashier during the month; - Telephone TZS 150,000; Tiffin TZS 50,000; Minor repairs TZS 30,000 and General expenses TZS 100,000.
A. TZS 300,000.
B. TZS 170,000.
C. TZS 330,000.
D. TZS 270,000.
E. TZS 500,000.

iv. Makudubela gathered the following reconciling information in preparing its October bank reconciliation; Cash Balance TZS 16,800; Deposit in Transit TZS 600; Notes Receivable and Interest Collected by the Bank TZS 3,400; Bank Charges for CHEQUE printing TZS 80; Outstanding CHEQUES TZS 8,000 and NSSF CHEQUE TZS 680. The adjusted cash book balance on October 31 is;
A. TZS 20,000.
B. TZS 18,840.
C. TZS 16,040.
D. TZS 11,440.
E. TZS 19,440.

v. In the accounts of sole traders, goods taken from stock during the year for personal use by the owner are treated as follows:
A. Debited to Drawings (at the selling price when taken) and credited to Purchases.
B. Debited to Drawings (at the selling price when taken) and credited to cash.
C. Credited to Drawings (at cost) and debited to Purchases.
D. Regarded as Sales.
E. Debited to Drawings (at the selling price when taken) and credited to Cash.

vi. We originally sold 25 items at TZS 12,000 each, less $33\frac{1}{3}$ per cent trade discount. Our customer now returns 4 of them to us. What is the amount of credit note to be issued?
A. TZS 16,000.
B. TZS 48,000.
C. TZS 36,000.
D. TZS 30,000.
E. TZS 32,000.

vii. The company posted TZS 30,000,000 capital expenditure as revenue expenditure and TZS 3,000,000 revenue expenditure as capital expenditure: Hence, profits were;
A. Understated by TZS 30,000,000.
B. Understated by TZS 27,000,000.
C. Overstated by TZS 3,000,000.
D. Understated by TZS 30,000,000.

E. Overstated by TZS 27,000,000.

viii. The government of the United Republic of Tanzania may not use secondary ways to raise its funds (Minister of finance and planning). What would you consider to be the primary source of government revenues to be used?
A. Royalties.
B. Penalties and fines.
C. Taxes.
D. Interest.
E. User fees.

ix. Which among the following mark the difference between debit note and credit notes?
A. Issued by the suppliers and customers respectively.
B. Issued in blue ink ad red respectively.
C. Used in sales return and purchases return journals respectively.
D. Reduces sales and purchases respectively.
E. Used to correct overcharge and undercharges in invoices respectively.

x. Mr. Kilaza faced a problem while recording this transaction 'sold a machine to Babujinga'. The problem is; in which column of an account he should write brief narrative? Assist him the appropriate column for that purpose.
A. Folio.
B. Tittle.
C. Date.
D. Particulars.
E. Amount.

2. For each of the items (i) to (v), match the descriptions of accounting entries in **Column A** with their corresponding term in **Column B** by writing the letter of the correct response beside the item number in the answer sheets provided.

Column A		**Column B**
(i)	Are made by transferring all nominal accounts to trading or profit & loss accounts.	A. Compound entries. B. Double entries. C. Contra entries. D. Closing entries. E. Adjusting entries. F. Opening entries. G. Correcting entries.
(ii)	Are made in accounts to make them up-to-date for the accruals and prepayments.	
(iii)	Are made in accounts especially where mistakes have been committed by accountants while recording transactions.	
(iv)	Are made in order to start keeping proper records by entities having no proper records before.	
(v)	Are made by debiting or crediting an account twice with a single corresponding double entry account.	

SECTION B (40 Marks)
Answer All Questions

3. Receipts & payments account and incomes & expenditures statement are both used in non-profit organization's accounting. Briefly explain any five (5) points to distinguish them.

4. The following is the Bank Statement of Masawe for the month of December, 2020;

Bank Statement				
Date	**Particulars**	**Dr**	**Cr**	**Balance**
01.12	Balance B/F			4,000
05.12	MUNA & CO.	1,000		5,000
10.12	CHEQUE		2,200	2,800
15.12	PESAMBILI	2,500		5,300
18.12	Bank Charges	1,300		6,600
20.12	Dividends		1,500	5,100
25.12	Standing Orders	500		5,600
30.12	Credit transfer		3,000	2,600
31.12	CHEQUES		600	2,000

Additional Information;
(a) Cash book opening balance 1st December 2000 was TZS 4,000 (credit balance).
(b) Deposits in transit at 31st December 2020 – MASHAKA TZS 1,200.
(c) Outstanding CHEQUES – MATATA at 31st December 2020 TZS 3,500.

Required;
From the above details, draw unadjusted cash book and bank reconciliation statement, starting with the cash book balance.

5. From the following data as extracted in books of Mwamnyeto; prepare total debtors control account for August 2022.

Date	**Details**	**TZS**
2022 August 1	Sales ledger – debit balances.	3,816,000
2022 August 1	Sales ledger – credit balances.	22,000
	Transactions for the month;	
	Cash received.	104,000
	CHEQUES received.	6,239,000
	Sales.	7,090,000
	Bad debts written off.	306,000
	Discounts allowed.	298,000
	Returns inwards.	664,000
	Cash refunded to a customer.	37,000
	Dishonored CHEQUES.	29,000
	Interest charged by us on overdue debt.	50,000
2022 August 31	Sales ledger – debit balances.	3,429,000
2022 August 31	Sales ledger – credit balances.	40,000

6. A business prepares its financial statements annually to 30 April and stock-taking is carried out on the next following weekend. In 2015, 30 April was a Wednesday. Stock was taken on 3 May and the stock actually on the premises on that date had a value at cost of TZS 1,246,200.

   The following additional information is ascertained;
   (a) The cash and credit sales totaled TZS 23,000 during the period 1–3 May.
   (b) Purchases recorded during the period 1–3 May amounted to TZS 15,100 but, of this amount, goods to the value of TZS 5,300 were not received until after 3 May.
   (c) Sales returns during 1–3 May amounted to TZS 2,200.
   (d) The average ratio of gross profit to sales is 20%.
   (e) Goods in stock at 30 April and included in stock-taking on 3 May at TZS 3,000 were obsolete and valueless.

   Required;
   Ascertain the value of the stock on 30 April 2015 for inclusion in the financial statements.

SECTION C (45 Marks)
Answer All Questions

7. On 1st April 2013 Manyasi Ltd had a balance of TZS 126,000,000 on motor vehicles account and accumulated depreciation of TZS 55,500,000. One of the vehicles which were purchased on 1st May 2012 at a cost of TZS 54,000,000 was sold on 1st January 2015 for TZS 28,500,000.

   Full year's depreciation is provided in the year of purchase but no depreciation in the year of sale. Depreciation is to be made at 20% on cost for financial years ending 31st March each year.

   Required;
   Prepare Motor vehicles account for the years ended March 2014 and March 2015, Accumulated depreciation on motor vehicles for the years ended March 2014 and March 2015 and Motor vehicle disposal account.

8. Mr. Amani has been working as a retail trader and his wife was the one who keeps the books of account. Of recent, they decided to hire an accountant.

   The Financial Statement for the period ended 31st December 2016 and the books of account were handed over to this new accountant. The profit or loss account showed a net profit of TZS 15,667,000.

   On reviewing the books and the Statement of Profit or Loss, the accountant discovered the following;

   (a) Drawings of TZS 2,200,000 were included as miscellaneous expenses.
   (b) Rent expenses included rate for the half year ending 31st May 2017 of TZS 750,000.
   (c) Motor van expenses do not include a repair carried out in December 2016 but not yet invoiced. It is expected to cost TZS 258,000.

(d) Stationery purchases of TZS 780,000 were expensed but did not take into consideration stationery stocks at 31st December 2015 of TZS 105,000 and at 31st December 2016 of TZS 143,000.
(e) Debtors amounted to TZS 3,450,000 but 10% of them seem to be uncollectible. No provision was made in the books.
(f) Discounts allowed and received amounted to TZS 350,000 and TZS 650,000 respectively. No entry was made in the books.

Required;
Prepare journal entries necessary to correct the above errors and a statement that adjusts the net profit figure to reflect the correct amount.

9. The following trial balance was extracted from the books of Kibabu Ltd, a trader as at 31st December, 2021.

Details	**DR (TZS)**	**CR (TZS)**
Capital		380,000
Land and Building	237,000	
Furniture and Fittings	15,000	
Purchases and sales	742,900	928,400
Debtors and creditors	94,280	69,470
Rates	8,000	
Insurance	2,250	
General expenses	32,940	
Wages and salaries	84,670	
Drawings	39,400	
Provision for doubtful debts		2,250
Discounts	12,000	9,500
Bad debts	5,720	
Stock in trade 1.1.2021	98,000	
Bank	17,460	
	1,389,620	**1,389,620**

Addition information;
(a) Stock in trade on 31st December 2021 was TZS 104,500.
(b) At 31st December 2021 insurance prepaid amounted to TZS 550 and rates paid in advance TZS 1,500.
(c) Wages and salaries outstanding at 31st December 2021 was TZS 2,900.
(d) Provision for doubtful debts is to be increased to TZS 2,900.
(e) On 1st January, 2021 Kibabu Ltd sold his private car for TZS 15,000 and used TZS 10,000 of that amount to buy delivery car for use in business. On the same date he took from the business goods costing TZS 15,000 for his own use. No entries have been made in the books of the firm recording these transactions.
(f) Provide TZS 1,500 for depreciation of furniture and fittings and allow for depreciation on the delivery van at the rate of 20% per annum on cost.

REQUIRED
Prepare the income statement and the statement of financial position as at 31st December 2021.